Funding Round

Seed/Series —> Instrument type —>Preferred Equity/Conver<ble Note/Safe

This is working

Lets start with Company Round 0

Funding rounds depend on the funding round type, the instrument type, and the round size...

In Form there are 3 main steps. Funding Round, Instrument Type, Round size

In our case, what is currently working in correct. Way is :

Doc 3 & 4

We created Round 0, and aQer that we created a Seed round with SAFE.

AQer that, it was converted into preferred equity.

Doc 5 & 6

Seed round with a Conver<ble Note

And conversion Preferred equity I have tested the Convertible Note before we pause the meetings under Series and it was not correct unless you made some changes

This case is correct, and its cap table output is also correct

For Seed —> seed/Safe/Conver<ble Note

For Series —> Series /Preferred equity

The cap table and calcula<ons have been implemented for these rounds.

But in this case, what other scenarios can be possible?

The name of the rounds should be seperated from the name of the instruments. The logic for each instrument should work the same way under any round regardless of the name of the round. We can't build the logic based on scenario testing!!!

Suppose the company created **Seed/SAFE** and **Seed/Convertible Note** rounds at the same, and then created a **Preferred Equity** round.
In that case, will **both Seed rounds be converted** in this round?

Because we are checking conversions **round by round**, based on the data of the **previous round**. It depends how they are defined to be converted. They are usually converted in the next pricing round and each type will follow its own logic and calculations.
But then how will **both Seed rounds** be converted?
Because in **Preferred Equity**, only **Seed/SAFE conversion** is defined

Again, Seed and Safe are not tied together!!!

Will we need to display the data for **both of them together**? As I shown below in screenshot, please explain how this should work..

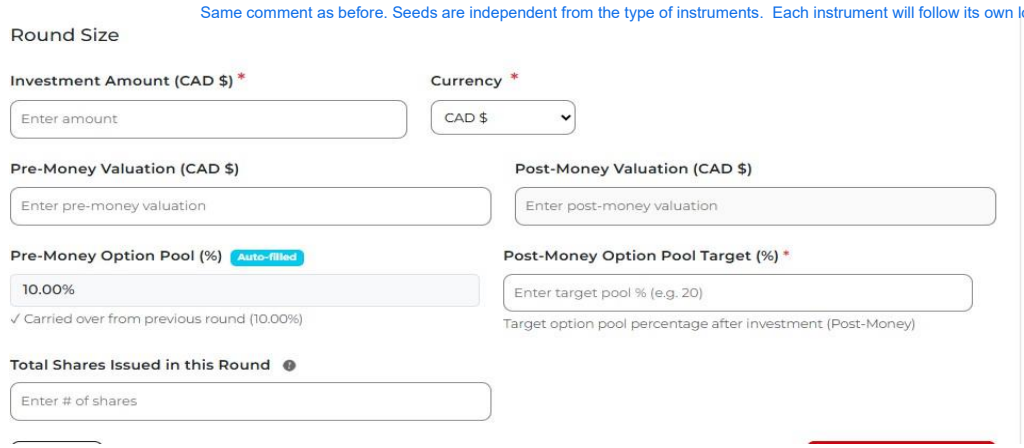
Example:

Metric	SAFE Case (3&4)	Convertible Note Case (5&6)	Difference
Seed Investment	$120,000	$120,000	Same
Series A Investment	$400,000	$400,000	Same
Pre-Money Valuation	$1,200,000	$1,200,000	Same
Seed Instrument Type	SAFE	Convertible Note	Different
Interest (10% for 2 yrs)	NO	YES	Key Difference
Seed Conversion Amount	$120,000	$145,200	+$25,200 interest
Seed Investor Shares	13,889	16,806	+2,917 shares
Total Shares Post-Series A	188,657	192,303	+3,646 shares
Post-Money Valuation	$2,037,500	$2,076,875	+$39,375
Seed Investor Ownership	7.4%	8.7%	+1.3%

Scenarios that can be created aQer Round 0.

Suppose the user selects **Seed** and **Common Stock / Preferred Equity**.
Then what will appear in **Step 3 (Round Size)**, and what will be the **cap table logic**?

Same comment as before. Seeds are independent from the type of instruments. Each instrument will follow its own logic regardless of the name of the round.



Suppose the user selects **Series** and **SAFE / Convertible Note**.
In that case, what will be displayed in **Step 3 (Round Size)**, and what will be the **cap table logic**?

Same as before...Series are independent from instruments. It could be SAFE or Preferred or any other type. Each instrument should follow its own logic.

Suppose the user creates a **Seed/SAFE** or **Seed/Convertible Note** round for the first time. After that, the user creates the **same round 10 times** — meaning 5 Seed/SAFE rounds and 5 Seed/Convertible Note rounds

And the parameters and values for these rounds will be according to **Docs 3 & 4 and 5 & 6**.

After that, **Series A / Preferred Equity** will be created. Explain this step by step

SAFE will always follow the same logic till its converted in a pricing round that it will be converted.

Yes, the Seed rounds convert in Preferred Equity, but…

Safe Instrument -> converts -> usually preferred stock

Conver<ble Notes-> convert -> common or preferred stock

I want to confirm that when after seed the company chooses Common Stock, in that case the capital or round size will be same as that of Preferred Equity…or it will be different.?

Once the priced rounds happen ...it's usually preferred and common usually are at issuance and formation which is not a really financing round that is why I called it Round 0 to make it separate. from other rounds. We can confirm that with Ozan during the meeting.

Because Common Stock is for (Founders, Employees) may have it, what could be its **round size field** and what would be the captable output when Seed/Convertible Note is converted…

Series A Round (we will test this tomorrow, please make the adjustments)

Investment Size (input): $15,000

Pre-Money Valuation: $45,000

Post- Money Valuation = $15,000 + $45,000 = $60,000

Series A Post-Money Valuation = 15,000/60,000 = 25%

Pool Option Size = 20% Please note here we are moving the existing 8% to become 20% and will be shown in post investment round.

Post Series A (Founders + Seed Investors) = 55%

Now lest see how they will impact the Cap tables and how the new # of shares are calculated and what impact we will see Pre and Post Series A investments when we have the Post- Money Option Pool instead of Pre-Money Pool Option.

Explain when this case can come.

Suppose aQer Round 0, conversion to Preferred Equity will occur by crea<ng a Seed/Safe/Conver<ble Note...but in which case will this rule apply? (We are talking about the op<on pool)

Because it display in Op<on Pool percentage Seed/Safe and Seed/Conver<ble Note.

Seed/Safe

Common Shares at Pre-Seed Round 1
Before SAFE investment (with option pool)

Management	Contact Info	Common Shares	New Shares	Fully Diluted Ownership %	Value ($)
f1 f Founder 1 Founder	ss@gmail.com	50,000	0	45.00%	CA$20,250.02
f2 f Founder 2 Founder	tts@gmail.com	30,000	0	27.00%	CA$12,150.01
f3 f Founder 3 Founder	test@gmail.com	20,000	0	18.00%	CA$8,100.01
Employee Option Pool Options Pool	-	11,111	11,111	10.00%	CA$4,499.96
TOTAL		111,111	11,111	100.00%	CA$45,000.00

Total Founders Ownership: 90.00%

Employee Pool Ownership: 10.00%

Seed/Conver<ble Note

Common Shares at Pre-Seed Round 1 (Output #3)
Before Convertible Note investment (with 10.0% option pool)

Management	Contact Info	Common Shares	New Shares	Fully Diluted Ownership %	Value ($)
f1 f F1 Founder	ss@gmail.com Voting	50,000	0	45.0%	CA$20,250
f2 f F2 Founder	tts@gmail.com Voting	30,000	0	27.0%	CA$12,150
f3 f F3 Founder	test@gmail.com Voting	20,000	0	18.0%	CA$8,100
Employee Option Pool 10.0% pool	Non-voting	11,111	0	10.0%	CA$4,500
TOTAL		111,111	0	100%	CA$45,000

Please tell me the instrument type..

Should valida<on be required based on funding round and instrument type? Explain accordingly

Company aQer Round 0 Choose Series C Extension and aQer that choose Preferred Equity

I think to avoid confusion for users it's better not to go backwards with names of the series.

AQer that is he is able to choose Series B, Series A, Seed, Pre Seed ,Post Seed can create round ?

If he is not able to create rounds in these then How Safe/Conver<ble Note to Series - Preferred Equity round conversion happened

Series names are not correlated to the type of insutments so when they create a preferred equity in Series C Extension then it will be converted in the next pricing round.

Company First <me create Round 0 and the choose Post Seed and then again choose Seed and create round is that possible ? I think to avoid confusion for users it's better not to go backwards with the names of the series.

ALSO :

The company creates a Series A and Preferred Equity round, in which Seed SAFE and Seed Convertible Note are converted
Then, when the next round (Series B and Preferred Equity) is created, in this case the previous round conversion will be considered. That means Seed SAFE and Seed Convertible Notes will already be converted, and the total number of issued shares will be calculated after checking the existing shares from the Series A and Preferred Equity round, the same way they exist in Series A and Preferred Equity.

Because the conversion of Seed SAFE or Seed Convertible Notes has already happened in the Series A and Preferred Equity round.

The same logic applies to Series C and Series D as well.

AQer all these my queries clear then we will go to next step That is Warrants

We should go to warrants once the logic behind the main instruments working properly in all rounds.

Thank you I really need your help Shadie and I really really appreciate if you explain all these things to me and appreciate your =me and effort

Thank you fAvi for working on the platform to resolve these issues. We can discuss this over the meetings we will have. I also need your help so we can make it work without any misunderstanding

Thank you